REWARDS LOOP AUDIT

SENIOR PM, REWARDS · OCT 2026

EARN ---------- VIA BURN ---------- YEARN

PASSENGER
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CLASS
Rewards & Retention

ROUTE
Australia + US

Where pay.com.au's rewards loop could spin faster

pay.com.au describes its business as an earn, burn and yearn cycle, and has said that speeding it up depends on onboarding and engagement. This is an outside-in look at that loop: how it works today, where it might leak, and which levers I would test first. It is built from public sources only, so some of it will be wrong.

01 The loop today

EARN

Earning is chosen at every payment: no points, 1 point per $1 for a 1.0% fee, or 2 per $1 for 1.8%. Enrolment is automatic. The decision to earn is not.

BURN

Points transfer to 16 airline, hotel and card partners, at 2.5 to 1 for Qantas, or go to gift cards, products, invoice credit and concierge requests.

YEARN

Points expire after 18 months without activity. Paid plans add PayTravel bookings and points advice, which help turn a balance into a trip.

Scale: 30,000+ businesses, more than A$10B processed in the last 12 months, 100% year-on-year growth, and a US launch as PayRewards in August 2026.

02 Where the loop might leak

1 **The earn decision is a cost decision.** Every payment asks the customer to pay more for points. Skip the package on enough bills and the balance barely moves, and a balance that doesn't move gives no reason to yearn.

2 **The payment rhythm is lumpy.** BAS, payroll, super and rent run monthly or quarterly. Long gaps between payments mean long gaps between reasons to think about points at all.

3 **The first burn can be far away.** A business class seat needs a large balance. For newer or smaller customers the loop may not complete for many months, which is exactly when they are easiest to lose.

03 Levers worth testing, and the ones I would skip

The test for each mechanic: does it change how often a business pays through pay.com.au, or what it chooses to pay? If not, it is decoration.

LEVER	HYPOTHESIS FOR PAY.COM.AU	MY CALL
Goals	Let a business pick a goal at signup, such as two business class seats to Singapore, and show progress toward it at the moment it decides whether to add points to a payment.	Test first
Challenges	Time-boxed prompts to move a new bill type onto the platform, such as rent, payroll or super, for bonus points. This grows share of wallet and builds on past ATO bonus offers.	Test first
Lifecycle journeys	Journeys keyed to the tax calendar and each customer's cycle: before BAS, at end of financial year, around the first redemption, and well before the 18-month expiry.	Test first
Personalised offers	Use earn and redeem history to target transfer bonuses at the partner a business already favours, instead of broadcasting every promotion.	Test next
Referral at redemption	Referrals already pay 10,000 points to each side. Test prompting them at the moment of redemption, when satisfaction peaks, rather than relying on shared codes.	Test next
Tiers	Status tiers on top of the Free, Regular and Premium plans would create two ladders to explain. Better to build status into the plans customers already understand.	Reframe
Streaks	Daily or weekly streaks don't fit monthly and quarterly bills. A months-in-a-row streak on rent or payroll might work; anything faster is noise.	Likely noise

04 What I would measure before building

Each question should be answerable from existing data before any mechanic is designed.

QUESTION	METRIC
Does goal progress change the earn decision?	Points attach rate per payment, goal-setters against everyone else
Do challenges grow share of wallet?	Bill categories paid per business, 90 days after a challenge
Does an early first redemption keep customers?	12-month retention, redeemed in first 90 days against not
How many balances are drifting toward expiry?	Accounts with no earn or redeem activity for 6+ months
Is payment rhythm the real constraint?	Median days between payments, by plan and business size

05 Built once, shipped to two markets

Every mechanic goes to Australia and the US. Three differences decide whether it travels:

Fee model	Australia has Free, Regular and Premium plans. The US launched with no monthly platform fee, so any status idea cannot depend on plans there.
Calendar	Australia runs on BAS and a June year end. The US runs on quarterly estimated tax and, for most businesses, a December year end. Lifecycle journeys need both.
Goal currency	The partners a business dreams about differ by market, so goals and personalised offers need a market-specific catalogue.

My approach: one engine per mechanic, with market settings for fees, calendar and partners, and one shared definition of an active business agreed with the US counterpart.

06 What I would want to learn first

Only internal data can answer these, and the answers would change my calls on page 2:

1	What share of payments carry a PayRewards package today, and how does it differ by plan?
2	How long does a new business take to reach its first redemption, and how many never get there?
3	Which redemption types go with businesses that stay: partner transfers, gift cards or invoice credit?
4	How are the current onboarding journeys segmented, so new mechanics build on them rather than around them?

If any of this is useful, I would value twenty minutes to talk it through.

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HOW THIS WAS MADE

Researched and drafted with Claude from public sources, checked October 2026. No account was opened and no customer data was used. Sources:

pay.com.au PayRewards FAQs (earn rates, fees, expiry)
pay.com.au pricing plans
pay.com.au guide: maximising PayRewards (referral offer)
Salesforce customer story: pay.com.au (earn, burn, yearn)
PR Newswire, 24 Aug 2026: US launch as PayRewards